

CLIENT RISK ASSESSMENT GUIDE v2.5

1. Risk Tolerance Questionnaire

- Question 1: How would you react if your investment lost 20% in one year?
 - a) Sell immediately
 - b) Hold and wait for recovery
 - c) Buy more at the lower price
- Question 2: What's your primary investment goal?
 - a) Preserve capital
 - b) Generate income
 - c) Achieve growth
- Question 3: How much of your monthly income can you comfortably save or invest?
 - a) Less than 5%
 - b) 5-15%
 - c) More than 15%
- Question 4: When do you anticipate needing major portions of your investment portfolio?
 - a) Within the next 3 years
 - b) 3-7 years from now
 - c) More than 7 years from now
- Question 5: How would you describe your investment knowledge?
 - a) Novice
 - b) Somewhat knowledgeable
 - c) Experienced investor

2. Risk Score Interpretation

0-20: Conservative

21-40: Moderate-Conservative

41-60: Moderate

61-80: Moderate-Aggressive

81-100: Aggressive

3. Assessing Capacity for Risk

- Current and future income stability
- Existing assets and liabilities
- Insurance coverage
- Emergency fund adequacy

4. Time Horizon Considerations

Short-term (0-2 years): Lower risk tolerance

Medium-term (3-7 years): Moderate risk tolerance

Long-term (8+ years): Higher risk tolerance

5. Emotional Risk Tolerance

Assess client's emotional response to market volatility through scenario-based questions.

6. Reconciling Conflicting Answers

- Identify inconsistencies between questions
- Discuss discrepancies with the client
- Use follow-up questions to clarify true risk tolerance

7. Case Studies

Conservative Profile: Retiree John, age 68

Moderate Profile: Middle-manager Sarah, age 45

Aggressive Profile: Tech entrepreneur Mike, age 32

8. Periodic Reassessment

- Conduct risk tolerance reassessment annually
- Reassess after major life events (marriage, birth of child, job change)